

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$16.71 ▼ 6.93%	12M Price Target \$22.00	52-Week Range \$12.08 – \$58.15	Market Cap \$5.56B
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RGTI: Quantum Hype Cooling, Insider Selling Adds Pressure

WHAT HAPPENED

- RGTI is down ~7% today and about 13% over 5 sessions — this is a sentiment unwind, not a news event. The Quantinuum IPO buzz pulled attention (and capital) away from RGTI, and the 24/7 Wall St. "Don't Take the Bait" piece hit the whole quantum sector on valuation concerns.
- Director Ray Johnson dumped ~\$4.3M of stock in June at \$20-22 — that's a real red flag when the stock is already 71% off its 52-week high. Insiders selling into weakness usually means they don't see a near-term catalyst.

WHY IT MATTERS

The stock is now trading at 10% of its 52-week range — meaning it's near the bottom of where it's traded all year — and that's telling you the "quantum supremacy" narrative that pumped this to \$58 has broken. The Quantinuum IPO is a double-edged sword: it validates the industry (good for RGTI long-term) but it gives institutions a bigger, better-capitalized pure-play to rotate into (bad for RGTI short-term). The unusual call buying at \$17 strike suggests some traders are betting on a bounce here, but with insiders selling and no near-term revenue catalyst, I'd treat this as a falling knife until it stabilizes. The bigger picture: RGTI's fate is tied to federal science spending — this is not a company that will be profitable on commercial revenue anytime soon.

POLICY & POLITICAL WATCH

The National Quantum Initiative Reauthorization Act is the single most important thing for RGTI right now — the original 2018 law expired and Congress has been dragging its feet on reauthorization, which would unlock ~\$2.7B in federal quantum R&D funding that RGTI directly competes for through DARPA and DOE contracts. Separately, watch export controls on quantum tech to China — the Commerce Department has been tightening these, which is a mixed bag (limits RGTI's addressable market abroad, but creates a moated domestic "trusted supplier" position for defense work). If the CHIPS Act 2.0 discussions include quantum computing carve-outs (which some senators have floated), that's a direct catalyst.

IS IT EXPENSIVE?

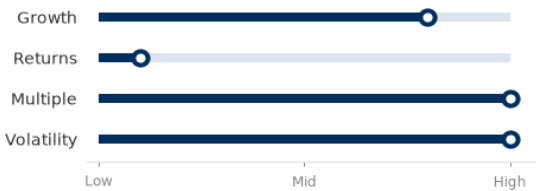
This is where it gets scary — RGTI has a \$5.6B market cap on maybe \$15-20M of revenue this year. That's roughly \$300 of market value for every \$1 of revenue, versus mature tech at \$5-10 per \$1. You're not buying a business, you're buying a call option on quantum computing working commercially in 5-10 years. That can be a fine bet, but only if you size it like the lottery ticket it is.

WHAT COULD GO WRONG

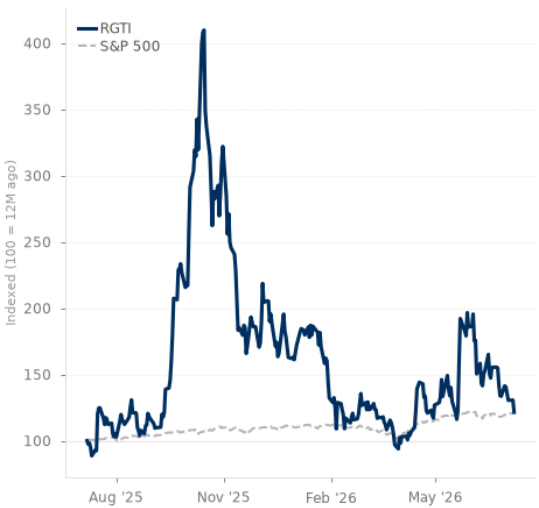
Key Data

Price (USD)	\$16.71
12M Price Target	\$22.00
Upside / (Downside)	+31.7%
Market Cap	\$5.56B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.28)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$20.00	\$17.00	\$13.50
6 Months	\$28.00	\$19.00	\$11.00
1 Year	\$35.00	\$22.00	\$9.00
2 Years	\$55.00	\$25.00	\$7.00
5 Years	\$120.00	\$30.00	\$3.00
10 Years	\$300.00	\$45.00	\$1.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate and Healthcare leading today — that's classic defensive rotation, meaning money is moving OUT of high-risk growth and INTO safer income-generating assets. That's a headwind for speculative names like RGTI.

COOLING OFF: Speculative tech and quantum specifically — the Quantinuum IPO sucked oxygen out of the room and gave institutions a "cleaner" way to play the theme.

ROTATION WATCH: Money is moving from speculative frontier tech toward defensive sectors (utilities, real estate, healthcare) — this is a risk-off signal, and RGTI is exactly the kind of name that gets sold in risk-off environments.

RELATED PLAY: If you believe in the quantum thesis, the cryogenics and specialty semiconductor suppliers that sell TO quantum companies (like FormFactor - FORM) are lower-risk ways to play the theme without betting on which quantum architecture wins.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Different quantum approach (annealing) that's already generating commercial revenue, which the market rewards.
- IONQ (IonQ): Trapped-ion approach with better error rates and stronger enterprise partnerships — the current "flight to quality" pick within quantum.

RGTI CONTEXT: RGTI is lagging its quantum peers meaningfully and now has to contend with Quantinuum as a public competitor with more resources. That's not a great look — when your stock underperforms your own volatile sector, it usually means the specific story is weakening, not just the sector.

WHAT I'D DO WITH THIS STOCK

4/10 Conviction Score

CONVICTION: 4/10 — the tech is real and the policy setup could be a catalyst, but insider selling plus valuation plus a fresh competitor IPO is a tough combo right now.

POSITION SIZE: 1-2% max — this is speculative sleeve money only. If you can't stomach it going to \$8, don't own it.

ENTRY POINTS: I'd wait for \$13-14 or a clean bounce with volume confirmation off current levels. Chasing here into a downtrend rarely works.

TIME HORIZON: 24-36 months — you need time for federal quantum funding to flow and for commercial use cases to emerge. This isn't a 3-month trade.

WHEN TO BAIL: Dilutive equity raise below \$15, loss of a major government program, or breakdown below \$12 (the 52-week low) on high volume.

HEDGING: Simplest hedge — just size small. If you want to get fancy, buy some cheap out-of-the-money puts as insurance, or short IONQ against it to isolate the "RGTI vs. peers" bet rather than the whole quantum theme.